to Sri Lanka stands at US$2.6 billion, devoted mostly to infrastructure support.[9]

A critical area of concern in India's neighbourhood policy has always been to ensure the security of the periphery. India has traditionally preferred to have a basic treaty/agreement of security partnership with a neighbour. It has a "Peace and Friendship Treaty" of 1950 with Nepal which is being reviewed for change on Nepalese demand. The Indian and Nepali armies have fraternal ties, and India recruits Gorkha soldiers from Nepal. With Sri Lanka, specific security aspects are built into the India–Sri Lanka Agreement of July 1987. In July 2013, India also worked out a trilateral Maritime Security understanding with Sri Lanka and Maldives following the second National Security Advisers (NSA)–level meeting of the three countries.[10] An earlier attempt to conclude a bilateral Defence Cooperation Agreement in the context of Sri Lanka's ethnic conflict did not succeed during 2004–05. India had signed a Treaty of Peace and Friendship with Bangladesh in 1972, soon after that country's birth. The treaty, however, expired in 1997 at the end of its 25-year validity. Attempts have been made for the past few years to revive and strengthen cooperation between the two countries in the defence sector as well. There is already greater understanding between the two sides in dealing with Indian insurgent groups that seek shelter in Bangladesh and terrorist groups that use Bangladesh territory to attack India.

The security concerns of India and the neighbours go far beyond the conventional framework. Under the "neighbourhood first" initiative, attempts have been made to consolidate and expand cooperation with these countries in the areas of counter-terrorism and counter-insurgency, border security, and fighting economic and social crimes like circulation of fake currency and human trafficking. India tried to persuade Bangladesh to shed the notion developed